

BOARD OF CBA

MINUTES (11.12.2012)

Refinancing Rate for December of 2012

The 11th of December 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of end-November and addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 1.4 percent of inflation recorded in October, and the 12-month inflation made up 3.6 percent, nearing the target level. The monthly inflation was further driven by increased food prices, entailing 2.4 percent of contribution (with 1.3 pp of contribution to headline inflation). Accordingly, such items as “bread products”, “meat products”, “fats and oils” and “vegetable and potato” reported price increases of 10.7 percent, 3.5 percent, 3.4 percent and 1.7 percent, with their contributions making up 1.1 pp, 0.4 pp, 0.1 pp and 0.1 pp, respectively. Core inflation in November behaved stably, posting a mere 0.4 percent rise, whereas the 12-month inflation figure persisted at a 3.5 percent level.

In the period January-October of 2012, relative to the previous reference period, the Economic Activity Indicator has been 7.6 percent, mostly attributable to output volumes reported in industry and agriculture, having increased by 10.0 percent and 8.2 percent, respectively. The growth of output in construction and services has been 4.5 percent and 5.7 percent, respectively.

In the period January- October of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 7.3 percent and 2.1 percent, respectively. Net inflow of private remittances of individuals has grown in the meantime by 10.9 percent y-o-y.

The CBA estimates suggest that the year will end with private consumption and private investment to have reported 7.9 percent and 4.4 percent increases, respectively. The fiscal policy's impact on aggregate demand is estimated as contractionary, explained by savings on public expenditures.

In the financial market in November, monthly interest rates showed stabilization trends. As a result, average interbank repo rate amounted to 9.0 percent (growing a mere 0.15 pp in relation to the previous month); market rate of treasury bills with up to 1-year of maturity rose by 0.15 pp to 9.96 percent; and interest rate of stock exchange-traded interbank loans reached 7.91 percent, rising by 0.15 percent from the previous month's figure.

In the foreign exchange market in November, the dram exchange rate performed as follows: relative to the previous month's average, the dram depreciation versus the U.S.

dollar was 0.12 percent to AMD 407.1; it however appreciated versus Euro by 0.98 percent to AMD 522.3 and versus Ruble by 0.69 percent to AMD 12.98.

In November the U.S. dollar appreciated versus Euro by around 1.2 percent, making up one US dollar per Euro (y-o-y appreciation – 5.7 percent).

The monetary policy indicators in November performed as follows: the 12-month growth of broad money and dram broad money were 21.2 percent and 16.3 percent, respectively; the y-o-y growth of dram deposits and foreign currency deposits were, respectively, 25.2 percent and 27.7 percent (or 20.5 percent when impact of the exchange rate is excluded). Growth rates of lending to the economy made up 26.1 percent y-o-y, in which structure loans in foreign currency again prevailed.

In November of 2012 deflationary pressures dominated in main commodities markets in the face of persisting uncertainties over debt problems and a weak global demand, while inflationary trends in food markets mainly stabilized. In November of 2012, relative to October of 2012, the average price of “Brent” crude oil, as quoted at Intercontinental Exchange, has fallen by around 2.0 percent (with y-o-y decrease of 0.7 percent). In OTC markets the price of gold dropped by 1.2 percent (with y-o-y decrease of 0.9 percent), and in London Metal Exchange the copper price reduced by 4.2 percent (with y-o-y increase of 1.6 percent).

The Food Price Index of FAO for November fell by 1.5 percent against the previous month’s index, under which circumstance the Index has declined by 2.6 percent in relation to the same reference period of the previous year. Hard red wheat price index growth began slowing down to 0.8 percent in November (with y-o-y growth of 28.5 percent). The rice price as quoted at Chicago Board of Trade fell by 1.8 percent (with y-o-y decrease of 1.2 percent) and the brown sugar price index at New York Board – Intercontinental Exchange dropped by 5.3 percent (with y-o-y decrease of 21.2 percent).

The U.S. Federal Reserve System further led a low interest rate policy by keeping it in the region 0 – 0.25 percent, in the light of expected moderate growth rates and medium-run inflation expectations in the U.S. economy.

Similarly, the European Central Bank left the policy rate unchanged in November. Both the U.S. Fed and the ECB are further resorting to non-traditional monetary policy implementation.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

Macroeconomic developments in November were mainly consistent with the baseline scenario outlined in the Q4 monetary policy program. The global demand is anticipated to be weak in the forecast horizon in the face of persisting uncertainties over political solutions to debt problems in developed countries as well as continued fundamental tightness in world food markets. This will result in an external demand to have minor inflationary influence on domestic prices.

In October-November the growth rates in private expenditures as well as non-commercial transfers of individuals remained strong. The fiscal sector had mostly a contractionary impact on aggregate demand. So, the influence coming from the Armenian economy on domestic prices was minor inflationary.

In view of the 12-month inflation behavior and minor inflationary environment persisting in the external sector and domestic economic sector development prospects,

the Board finds it reasonable to withhold from changing monetary conditions in December, too. In this circumstance, in the forecast horizon the 12-month inflation will keep on nearing the 4 percent target and stay around that level.

In the 11th of December 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 9.5 percent and 6.5 percent, respectively.